

Module 13

Business Assurance

Answers

The suggested answers are longer than what candidates are expected to give in the examination. The purpose of the suggested answers is meant to help candidates in their revision and learning. The suggested answers may not contain all the correct points and candidates should note that credit will be awarded for valid answers which may not fully covered in the suggested answers.

SECTION A – CASE QUESTIONS (Total: 50 marks)

Answer 1(a)

The risk of material misstatements relating to R&D expenses in terms of classification assertion is considered to be high.

Material amounts: The amount of R&D expenses is material to the consolidated financial statements, accounting for more than 60% of total expenses.

Improper capitalisation: R&D costs may be incorrectly capitalised, due to weak internal controls, which was identified by the internal audit.

Expense allocation issues: Irregularities in timesheet records and expense invoices and allocation may result in incorrect classification.

Inconsistent application of criteria: High turnover in the R&D department may lead to inconsistencies in applying capitalisation criteria.

Pressure to meet government grant conditions: Management faces pressure to ensure R&D expenses account for at least 50% of total expenses over the next three years. If the criteria are not met, the government can reclaim part of the subsidy with interest.

Pressure to meet targets: Pressure from management to achieve financial targets could lead to intentional misclassification of expenses.

Answer 1(b)

Walkthroughs of R&D processes: Perform walkthroughs of the R&D expense process to understand and evaluate controls.

Review internal controls: Evaluate and test the design and effectiveness of controls over R&D expense classification.

Obtain understanding on the company's accounting policies, in particular, the R&D capitalisation criteria.

Test capitalisation criteria: Examine supporting documentation to ensure capitalisation aligns with accounting standards.

Substantive testing: Perform detailed testing on a sample of R&D expenses to verify correct classification.

Examine adjusting journal entries: Inspect adjusting entries related to R&D expenses to identify any unusual or unsupported adjustments.

Comparison with budgets: Compare actual R&D expenses to budgets and forecasts to identify any unusual trends.

Inquiry with management: Discuss with management and R&D key personnel to understand the process and rationale behind classification decisions/ process of the drug development status.

Inspect timesheets: Inspect timesheet records to validate the allocation of salaries to R&D activities.

Analytical procedures: Use analytical procedures to identify any unusual patterns or deviations in R&D expenses.

Comparison with industry data to identify any unusual patterns or deviations in R&D expenses.

Seek input from external technical specialists or valuation experts.

Review of internal audit reports: Consider findings from internal audits to identify areas of concern.

Perform two-way testing to identify any non-R&D related expenditures being capitalised as R&D expenses and inspect the variance, if any.

Answer 2(a)

The risk of material misstatements relating to other income-government grants in terms of accuracy assertion is considered to be high.

Complexity: Complexity varying criteria across multiple grants across different countries increases the risk.

Lack of proper filing of government subsidy agreements: There is a risk due to inadequate filing of government subsidy agreements. Without proper documentation, it becomes difficult to verify the terms and conditions of each grant, potentially leading to incorrect income recognition.

Insufficient documentation to prove compliance with criteria: Proper records are essential to substantiate that all conditions have been met, ensuring that income is recognised accurately and legitimately.

Pressure from managements to achieve financial target could lead to intentional misclassification of expenses. A proposal was made to classify certain administrative and promotion expenses as R&D expenses to meet the criteria.

Compliance with conditions: The prior year's internal audit findings suggested there might be non-compliance with grant conditions, leading to inaccurate income recognition.

Multi-location operation: Since the laboratories are located in Hong Kong, Germany and Japan, and considering the high staff turnover rate, InnoBio may fail to meet the requirement of maintaining 70% of laboratory staff in the designated locations.

Answer 2(b)

Review government grant agreements: Examine terms to ensure proper understanding of recognition criteria.

Verify compliance on the non-financial condition with government grant conditions, such as staff composition.

Test whether financial condition such as the R&D expenditure comply with the government grant criteria.

Examine recognition criteria: Ensure grant income recognition aligns with accounting standards.

Recalculate government grant: Verify accuracy of income calculations and allocations.

Inspect documentation: Review supporting documents for government grant compliance.

Analytical review: Perform analytical review to identify any unusual pattern or deviation in government grants/ other income.

Inquiry with management: Discuss how compliance was determined and income recognised.

Answer 3

Disagree with Keiths' FY2024 group audit plan proposal. Reasons are as below:

Following prior year practices without reassessing the current risk environment might overlook new risks. The auditor should have a fresh risk assessment each year.

The prior approach relied on statutory standalone audit reports from GY-DE and GY-JP, which may not align with the Group audit's requirements.

Hong Kong Standard on Auditing 600 (Revised) *Special Considerations – Audits of Group Financial Statements (Including the Work of Component Auditors)* enhance the group's auditor responsibility for the direction, supervision, and performance of component auditors, ensuring effective communication and collaboration. Group auditors should revisit the circumstance in each audit period and apply appropriate audit planning and supervision.

It is unclear whether the audit materiality, scope, or approach used in the local statutory audit aligns with the Group audit's planning.

Previous audits did not involve access to work papers or visits to component auditors, relying only on web interviews, which might not provide sufficient understanding.

HKSA 600 (Revised) also expands documentation requirements to ensure that the rationale for decisions made during the audit is clearly recorded.

The group auditor should clearly document how they review the component audit work and ensure that any evidence in a foreign language is appropriate and sufficient.

Answer 4

To: James, Audit Partner

From: Chris, Audit Manager

Date: Exam Date

Subject: Key Considerations for Reviewing Component Auditors Audit Works

This memo serves to propose key considerations for the review of audit works from component auditors.

Key Considerations:

1. Independence of the component's auditors

Verify that component auditors maintain independence throughout the audit process. Address any potential conflicts of interest.

2. Assess the competence of the component's auditors

Consider the competence and any non-compliance or disciplinary records of the component auditors.

3. Competence and documentation

Ensure that component auditors have the necessary skills and experience. Their work should be thoroughly documented to provide sufficient audit evidence.

4. Adherence to group instructions

Confirm that audits are conducted following group instructions, covering all relevant audit areas and risks.

5. Access to working papers

Ensure you have access to component auditors' working papers to validate their findings.

6. Visits to component auditors

Consider visiting component auditors if there are jurisdictional restrictions or significant risks. This allows for direct engagement and ensures thorough understanding.

7. Materiality and audit programs

Validate the application of materiality levels. Review audit programs to ensure comprehensive coverage of all material accounts.

8. Use of specialists

Confirm the involvement of specialists where necessary. Assess their competence and the appropriateness of their contributions.

9. Significant risks and judgments

Review how significant risks were identified and addressed. Ensure that audit responses are adequate and documented appropriately.

10. Understand the nature and extent of audit works

Review and evaluate the scope and results of the audit work performed to ensure that the audit evidence is sufficient and appropriate.

11. Fraudulent activities

Review reports for any indications of fraud. Ensure there are adequate responses and controls in place to mitigate similar risks in the future.

12. Going concern issues

Evaluate any concerns about the component's ability to continue as a going concern. Determine the implications for the group, such as additional disclosures or adjustments.

13. Material departures from relevant accounting standards

Check for any material departures from accounting standards. Ensure these are addressed and corrected to maintain compliance.

14. Understand material misstatements

Identify any material misstatements not adjusted in the financials. Assess their potential impact on the consolidated financial statements and determine if further action is required.

15. Subsequent events

Identify any significant events occurring after the reporting period. Assess how these events might affect the group's financial position or disclosures.

16. Overall impact

Understand the detailed impact of reported issues on the group financial statements. Consider adjustments or additional disclosures or management letters points that require group auditor attention.

17. Communication and reporting

Ensure that all significant matters have been communicated to both component and group management before financial statement approval.

18. Consolidation and compliance

Review the consolidation package to ensure compliance with group accounting policies. Verify that figures align with audited records.

19. Final analytical procedures

Confirm that final analytical procedures were performed. Obtain explanations for any material or unusual variances to ensure accuracy.

20. Review management representation letter

Review management representation letters for completeness, accuracy, performing inquiries, and additional procedures as needed to ensure consistency with audit evidence.

The items listed above are considered essential for the review of the audit works from component auditors.

Answer 5(a)

Providing advisory services on a tax transfer pricing issue may create a self-review threat if the firm helps design and implement the transfer pricing structure, and if it would then be auditing the results of your own work during the financial statement audit. This could compromise its objectivity and independence.

The firm can set up proper safeguards, including:

Client involvement and approval: Ensure the client takes ownership of the transfer pricing design and implementation. Document clear communication showing that the client understands the methodology and approves the final structure. The client should be responsible for making all significant judgments and decisions.

Independent review: Have a separate team within the firm, completely independent of the audit team, perform the transfer pricing advisory work.

Answer 5(b)

Providing advisory services to remediate internal audit findings in FY2024 may create a self-review threat as the advice on remediation could lead to the firm making management decisions for InnoBio.

The firm can set up proper safeguards, including:

Scope limitation: Clearly define the advisory scope, focusing on providing recommendations rather than making decisions.

Client responsibility: Ensure InnoBio's management remains responsible for implementing any changes.

Independent review: Incorporate an independent review of the advice provided to validate objectivity.

* * * END OF SECTION A * * *

SECTION B – ESSAY / SHORT QUESTIONS (Total: 50 marks)

Answer 6(a)

In these circumstances it may be acceptable to carry out the trade payable confirmation prior to the year-end if confirmation is no more than three months before the year-end and Alpha's internal controls are strong.

Negative confirmations provide less persuasive audit evidence than positive confirmations, and the auditor shall not use negative confirmation requests as the sole substantive audit procedure unless all the following factors are present:

- The auditor has assessed the risk of material misstatements on trade payable balances as low.
- Alpha has effective internal controls.
- The population of items comprises many small accounts.
- An extremely low exception rate is expected, such as in past years, and there were no material misstatements on trade payable balances.
- The auditor is not aware of any circumstances or conditions that would cause recipients of negative confirmation requests to disregard the requests.

Answer 6(b)

Regarding the two confirmations received from the key trade receivables which appeared not to come from the originally intended confirming parties, it indicates doubts about the reliability of a response.

A non-response to a confirmation request may indicate a previously unidentified risk of material misstatement.

In response to the revised risk assessment, the auditor shall take the following actions, revise the audit strategy, and modify the planned audit procedures:

- Check the addresses where the confirmations were sent to ensure the addresses are correct.
- Request to contact the confirming party by site visit or direct interview.
- Evaluate the implications on the assessment of the relevant risks of material misstatements, including the risk of fraud.
- Examine the transactions and cash flows with the two trade receivables.

- Perform background searches of the two trade receivables to ensure they exist and conduct business in the relevant industry.
- Consider if the two trade receivables are related parties where additional financial disclosures are required.
- For the non-responded confirmations, discuss with management to ascertain the reasons below for the extremely low response rate.
- Send second requests to the non-response trade receivables.
- Increase the samples of the confirmations.
- Perform alternative work by checking to the settlements or other documentary evidence.

Answer 6(c)

The responses from the customers indicating that they had not received any rebate from Gamma may indicate a misstatement or incidents of stolen monies which conceal a fraud.

Gamma may hide that it had made payments to other third parties or even to its management personnel which Gamma recorded as rebates payable to customers.

The auditor shall take the following actions:

- Ask the management to understand why the customers responded with disagreement.
- Ask the management to ascertain if there is any written agreement which can support such rebates.
- Enquire the management to obtain the basis of rebate calculation.
- Trace the bank payments of the rebates and examine the payee identities from the bank slips.
- Request direct contact with the customers to obtain more details about the rebate committed by Gamma; and
- Increase samples of confirmations to ascertain if further exceptions are noted.

Answer 7(a)

General controls are expected:

(i) Prevention or detection of unauthorised access to the system

- Assigning each clinic staff with a user ID with password control when logging in.
- Segregation of duties: Establishment of restricted access by different clinic staff; for example, a doctor can only record the type of consultation but not the process for distribution of medicines and collection of cash from patients.
- Protection of the system from viruses and other forms of attacks.
- Physical access restrictions.

(ii) Controls to prevent unauthorised alternation of programmes and data

- Segregation of duties: A separate IT team should be responsible for handling requests from clinic users and management for any programme changes and data changes.
- Establishment of records of programme changes with appropriate approvals.
- Establishment of programme logs to track all programme and data changes.
- Establishment of double authentication protection for super user access for programme changes and data changes.
- Establishment of an approval policy for any alternation of data.

(iii) Controls to ensure continuity of operation

- Establishment of off-site places for storage of back-up copies of programmes and data files.
- Protection of equipment against fire and other hazards.
- Establishment of disaster recovery procedures.
- Establishment of back-up procedures in the event of system outage or failure.
- Acquisition of adequate maintenance and insurance coverage over the hardware.

Answer 7(b)

(i) Application controls over input and process – authorisation, completeness, and accuracy

- Assigning each patient with a patient ID in the system authenticated by presenting a valid identity document such as an HKID or passport.
- Assigning each patient visit a sequential numerical job order.
- Ensuring doctors cannot access patients' records if the job order is not created.
- Recording of settlements of medical fees through credit card or cash and allowing only cashiers to approve cash receipt transactions.
- Preventing medicine from being distributed by the pharmacy if a cash receipt is not recorded in the system.
- Allowing the system to calculate the fee charged to patients based on a pre-determined price for different medication prescribed by doctors and the doctor's consultation fee.
- Marking each transaction as completed only when all process users have signed off in the system.
- Creating system-generated incomplete records such as unsettled medical fees, for management review and approvals.
- Creating system-generated exception reports when there are uncommon transactions, such as one patient visiting multiple times.
- Posting of system transactions to the accounting ledger for recording of revenue.

(ii) Application controls over master files and data

- Master files on doctors' consultation fee and medication fee are established in the system with approval from management.
- Access to system master files and data should be limited to management personnel.
- Process owners should be restricted by the system to edit any pricing or information.

Answer 8(a)

The risk of material misstatements on Gooday's properties held for sale relating to valuation assertion is considered to be high.

As the Hong Kong domestic property price index has been dropping consecutively since 2022, it is believed that the downward trend of property prices may continue in 2025 or after for some time.

Impacted by the market situation, there may not be an adequate representative sample of transactions which can reflect a fair selling price for properties. Accordingly, it increases the complexity of the estimation by the management.

The provision for net realisable value is a management estimate and management may intend to overstate the profit by understating the provision due to the determination of fraud risk.

This estimate is subject to high uncertainties because of the various external and uncontrollable factors existing as at the reporting date.

Gooday will take a longer time and incur additional costs to sell their properties, which will therefore increase the complexity of this estimate.

Answer 8(b)(i)

Property 1

As no sales have been noted for the last three years, there is doubt if the estimated selling price of the car park can be maintained at HK\$300,000 per unit in the current vulnerable market situation.

As the head room for the NRV provision amounts to only HK\$5,000, it is marginal to support a lack of provision.

Whether the selling price of the car park can be maintained at the same price as that of three years ago is not relevant in determining the estimated selling price, therefore, it cannot support the nil NRV provision.

Accordingly, the audit evidence obtained is not relevant and is inadequate to support management's representation that no NRV provision is needed.

Answer 8(b)(ii)

Property 2

The Hong Kong domestic property price index has dropped consecutively since 2022 due to high market volatility. As management simply referenced to the last financial crisis, there is no reasonable basis to support this representation.

The internal valuation report provided by management to support the 15% compound growth rate of the property selling price was not determined with the valuation technique, accordingly, the information may not be reliably measured.

There is no evidence to support whether the adjacent property price used by management is appropriate.

Property 2 is a property under construction. Management's estimation of the stable cost to completion is not supported with quantitative analysis.

Answer 9

The board of directors shall undertake or consider the following actions:

- Evaluate the nature and extent of the risks that the bank is currently willing to take in achieving its strategic objectives.
- Review its composition of the loan portfolio and determine if the risk profile is acceptable based on its risk assessment.
- Revisit its existing groups of borrowers and determine if any change of its target borrowers is needed.
- Review if there is a policy in place to set out the leverage of collaterals.
- Review if there is a policy in place by the bank to maintain an acceptable loan to equity ratio that the management need to adhere.
- Assess the scope and effectiveness of the internal control being established by the management.
- Engage external consultants to evaluate the effectiveness of the design of existing internal controls.
- When assessing internal control, the board of directors should consider if segregation of duties is in place.
- Review if the bank has a robust policy to check the identity of its borrowers to "Know your client" and whether any of the borrowers are related parties.
- Review if a policy to ensure additional approvals are required for loans granted to related parties of the management.
- Review if a compliance officer is in place for monitoring compliance with related laws and regulations.
- Oversee management in the design, implementation, and monitoring of the risk management and internal control systems.
- Monitor the process of the internal audit department through requesting regular direct reporting of the status by the internal audit function to the whole board of directors.
- Review to ensure the internal audit function has sufficient resources and empowerment to perform their work.
- Approve the appointment or dismissal of the head of the internal audit function.
- Consider suggestions made by the internal audit function.

- Discuss with an external auditor to ascertain any further improvement of its internal controls.
- Ensure the directors have relevant and adequate training about the independence mindset and awareness to report if there are potential conflicts.

* * * END OF EXAMINATION PAPER * * *